

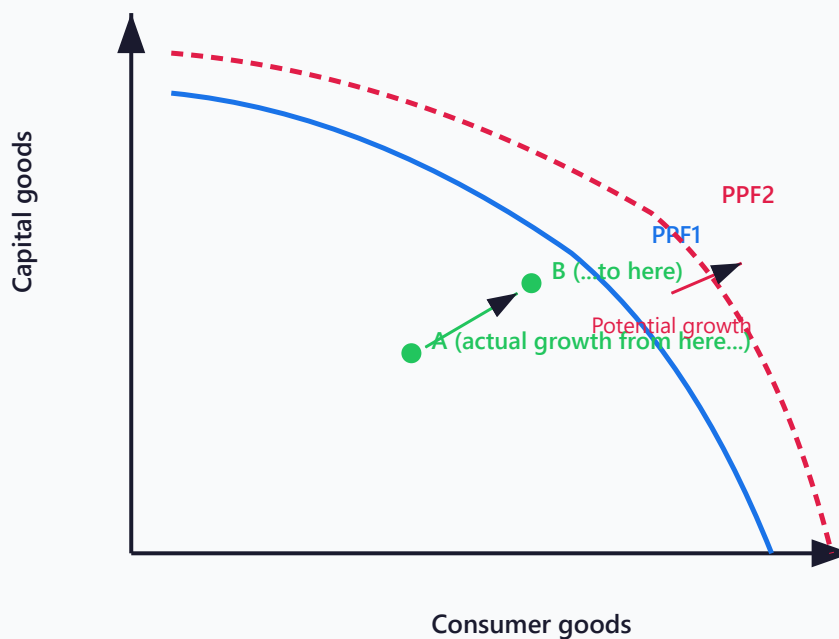
2.1 Measures of Economic Performance and Aggregate Demand

Economic Growth

Economic growth is an increase in the real GDP of an economy over a period of time. It represents an expansion in the total output of goods and services produced.

Actual vs Potential Growth

- **Actual growth** — the percentage annual increase in real GDP. This occurs when the economy makes greater use of existing resources (moving towards the PPF boundary). Shown by a movement from inside the PPF to a point closer to or on the boundary, or by AD shifting right along the AS curve.
- **Potential growth** — an increase in the productive capacity (potential output) of the economy. Shown by an outward shift of the PPF or a rightward shift of LRAS. This does not necessarily mean output has increased, only that the economy *could* produce more.



Actual growth: movement from A to B (using spare capacity). Potential growth: outward shift from PPF1 to PPF2 (increased productive capacity).

Benefits of Economic Growth

- **Higher living standards** — more goods and services available for consumption
- **Lower unemployment** — firms hire more workers as output increases (derived demand for labour)
- **Higher tax revenues** — government earns more from income tax and VAT without raising rates, enabling better public services or deficit reduction
- **Increased business confidence** — encourages investment, creating a virtuous cycle
- **Poverty reduction** — growth can increase incomes for the poorest (though depends on distribution)

Costs of Economic Growth

- **Inflation** — if growth exceeds productive capacity, demand-pull inflation results
- **Environmental degradation** — increased output may cause pollution, resource depletion, and carbon emissions
- **Income inequality** — growth may disproportionately benefit the wealthy (e.g. asset price inflation benefits property owners)
- **Current account deterioration** — higher incomes lead to increased import spending

- **Opportunity cost** — growth driven by investment requires sacrificing current consumption
- **Resource depletion** — non-renewable resources used up faster, raising sustainability concerns

Evaluation: Whether growth is desirable depends on its sustainability, distribution, and source. Export-led growth may be more sustainable than debt-fuelled consumption. Growth that damages the environment may reduce long-run welfare. The concept of **green growth** suggests decoupling GDP growth from environmental harm.

Gross Domestic Product (GDP)

GDP (Gross Domestic Product) is the total market value of all final goods and services produced within a country's borders in a given time period (usually one year). It is the primary measure of national output.

Three Methods of Measuring GDP

In theory, all three give the same result:

Method	What it measures	Detail
Output (Production)	Value added at each stage	Sum of value added by all industries. Avoids double-counting by subtracting intermediate goods.
Income	Factor incomes earned	Wages + Profits + Rent + Interest. Only includes incomes from production of goods/services.
Expenditure	Total spending on final output	$C + I + G + (X - M)$. The most commonly referenced method.

Real vs Nominal GDP

- **Nominal GDP (money GDP)** — measured at current prices. Changes reflect both output changes and price changes, so it overstates actual growth during inflation.
- **Real GDP** — adjusted for inflation using a base year. Strips out price changes to show true changes in output volume.

$$\text{Real GDP} = (\text{Nominal GDP} / \text{GDP Deflator}) \times 100$$

Exam Tip: Always use **real GDP** when comparing over time, and **GDP per capita at PPP** when comparing between countries. The examiner expects you to identify when nominal figures are misleading.

GDP Per Capita

$$\text{GDP per capita} = \text{GDP} / \text{Population}$$

A better indicator of average living standards than total GDP because it accounts for population size. A country with high GDP but a very large population (e.g. India) may have low GDP per capita.

GDP, GNI and GNP: GDP measures output produced *within* a country's borders. **Gross National Income (GNI)** is GDP plus net primary income from abroad (income earned by residents overseas minus income paid to non-residents), so it measures the income of a country's residents wherever it is earned. GNP is a closely related older term for the same idea. GNI can differ substantially from GDP in countries with large foreign ownership (e.g. Ireland) or large overseas earnings.

Limitations of GDP as a Measure of Welfare

Limitation	Explanation
Income inequality	GDP per capita is an average — it hides how income is distributed. A few billionaires can raise the average while the majority remain poor.
Informal economy	Unrecorded economic activity (cash-in-hand work, subsistence farming) is excluded. This is significant in developing countries where the informal sector may be 30-60% of output.
Non-marketed output	Housework, childcare, DIY, and volunteering have value but are not included in GDP.
Environmental costs	GDP counts pollution clean-up as positive output. It does not subtract environmental degradation or resource depletion.

Quality of life	Leisure time, mental health, crime rates, and political freedom are not captured.
Composition of output	GDP does not distinguish between defence spending and education spending, though their effects on welfare differ.
PPP differences	Comparing GDP across countries requires PPP adjustment, as the same dollar buys different amounts in different countries.
Accuracy concerns	GDP data is revised multiple times and may contain measurement errors, especially for services.

Alternative Measures of Welfare

Measure	What it includes	Strengths	Weaknesses
HDI (Human Development Index)	GNI per capita (PPP), life expectancy, mean/expected years of schooling	Broader than GDP; captures health and education; allows cross-country comparison	Still uses income; ignores inequality, environment, political freedom
MPI (Multidimensional Poverty Index)	Health, education, living standards (10 indicators)	Captures deprivation directly; useful for targeting aid	Complex to calculate; data-intensive
Genuine Progress Indicator (GPI)	GDP adjusted for inequality, environmental damage, crime, leisure	Addresses many GDP limitations	Subjective weightings; not widely adopted
Happiness indices	Survey-based subjective well-being (World Happiness Report)	Directly measures what people feel	Cultural bias; subjective; hard to compare

Case Study: GDP vs HDI — The Gulf States

Qatar has one of the highest GDP per capita figures in the world (over \$80,000 PPP), yet its HDI ranking is much lower (around 40th globally). This gap reflects the fact that GDP per capita can be

inflated by oil revenues concentrated among a small citizen population, while migrant workers (who make up the majority of the workforce) may experience lower living standards. This illustrates why GDP alone is insufficient as a welfare measure.

Inflation

Inflation is a sustained increase in the general price level of goods and services over a period of time, reducing the purchasing power of money. It is measured as an annual percentage change.

How Inflation is Measured

The ONS measures inflation using a representative **basket of goods and services** (over 700 items) that reflects typical household spending. The basket is updated annually to reflect changing patterns.

1. Select a base year and set the index to 100
2. Each month, record prices of all items in the basket from a range of outlets across the country
3. Weight each item according to its share of household spending (items on which households spend more get greater weight)
4. Calculate the weighted average price change to produce the index
5. Express the annual percentage change as the inflation rate

Measure	Includes	Key features
CPI	Basket of goods/services using geometric mean	UK government's target measure (2% target). Used internationally. Excludes mortgage interest payments and council tax.
CPIH	CPI + owner-occupier housing costs (OOH)	ONS's preferred measure since 2017. Includes a proxy for housing costs based on rental equivalence.
RPI	Basket + mortgage interest payments, council tax, house depreciation	Uses arithmetic mean (tends to give higher figure). Still used for some contracts, index-linked gilts, student loan interest. Not classified as a National Statistic due to formula deficiencies.

Exam Tip: Problems with CPI measurement include: the basket may not reflect individual spending patterns; quality improvements are hard to adjust for; new products take time to be included; and the weights become outdated between annual updates.

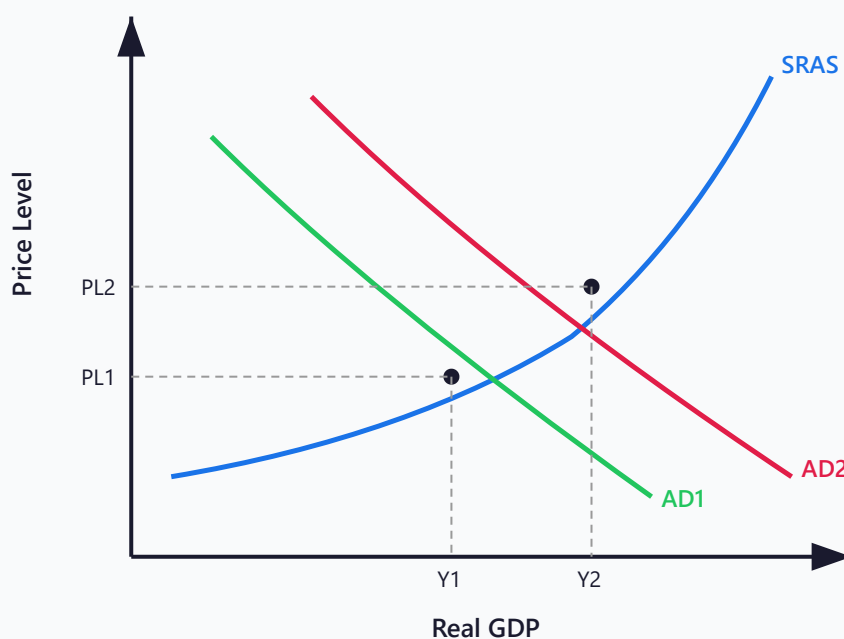
Causes of Inflation

1. Demand-Pull Inflation

Demand-pull inflation occurs when aggregate demand increases faster than aggregate supply, pulling up the price level. Often described as "too much money chasing too few goods."

Causes of demand-pull inflation:

- Consumer confidence and credit availability increasing consumption
- Expansionary fiscal policy (increased G or reduced T)
- Loose monetary policy (low interest rates increasing C and I)
- Depreciation of the exchange rate boosting exports and raising import prices
- Rapid growth in the money supply
- Wealth effects from rising asset prices (housing, shares)



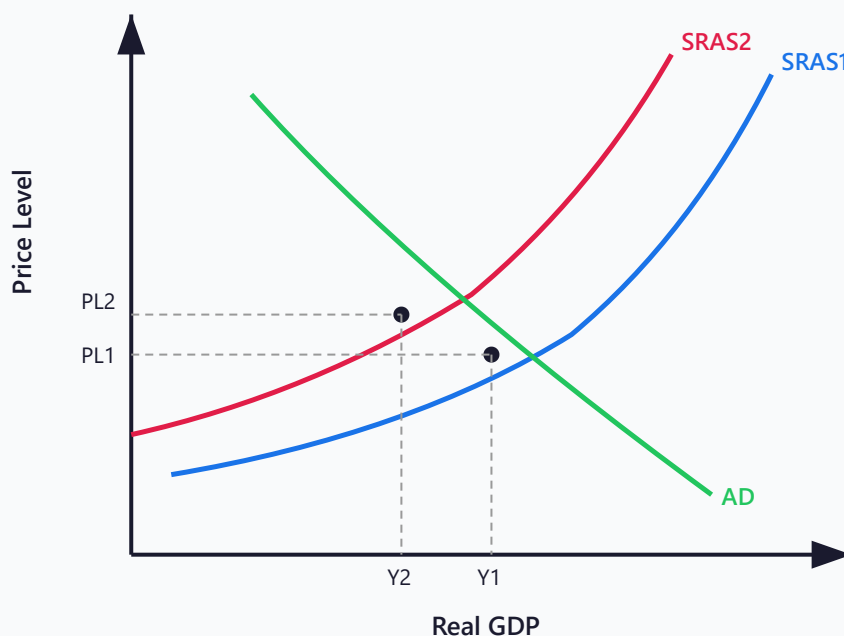
Demand-pull inflation: AD shifts right from AD1 to AD2, raising price level from PL1 to PL2 and output from Y1 to Y2.

2. Cost-Push Inflation

Cost-push inflation occurs when the costs of production increase, causing firms to reduce supply at every price level. SRAS shifts left, raising the price level.

Causes of cost-push inflation:

- Rising oil and energy prices (a key input cost for most industries)
- Rising wages above productivity growth (wage-push inflation)
- Depreciation of the exchange rate (imported raw materials become more expensive)
- Higher indirect taxes (VAT, excise duties)
- Rising global commodity prices (food, metals)
- Supply chain disruptions



Cost-push inflation: SRAS shifts left from SRAS1 to SRAS2, raising price level from PL1 to PL2 while output falls from Y1 to Y2 (stagflation).

Case Study: 2022 UK Cost-of-Living Crisis

UK CPI inflation rose from 0.4% in February 2021 to a peak of 11.1% in October 2022 — the highest in 41 years. This was primarily **cost-push**: Russia's invasion of Ukraine caused a spike in gas and oil prices, global supply chains were still disrupted from COVID, and the depreciation of sterling after Brexit raised import costs. Ofgem's energy price cap for a typical household rose from around £1,300 a year in 2021 to £3,549 for October 2022 (the government's Energy Price Guarantee limited typical bills to £2,500). However, there was also a demand-pull element: loose monetary policy (BoE base rate had been 0.1%) and the release of savings built up during lockdowns boosted spending. The Bank of England raised interest rates from 0.1% to 5.25% between December 2021 and August 2023 in response.

Consequences of Inflation

Consequence	Explanation
Reduced purchasing power	Those on fixed incomes (pensioners, some workers) find their real income falls. Wages may not keep pace with prices.
Menu costs	Firms must frequently update price lists, catalogues, and vending machines — a real resource cost.
Shoe leather costs	People spend more time and effort shopping around for best prices and managing money to avoid losing value.
International competitiveness	If UK inflation exceeds that of trade partners, exports become relatively expensive, worsening the current account.
Uncertainty and reduced investment	High/volatile inflation makes it harder for firms to plan. They may delay investment, reducing future growth.
Fiscal drag	If tax thresholds are not raised in line with inflation, workers are pushed into higher brackets — a real tax increase without legislation.
Redistribution	Transfers wealth from savers to borrowers (real value of debt falls). Lenders lose out unless interest rates adjust.

Wage-price spiral

Workers demand higher wages to compensate for rising prices, increasing costs for firms, who raise prices further.

Exam Tip: The impact of inflation depends on (1) whether it is anticipated or unanticipated, (2) its rate relative to other countries, (3) whether wages rise in line with prices, and (4) how long it persists. Moderate, stable, anticipated inflation (around 2%) is generally considered consistent with a healthy economy.

Deflation

Deflation is a sustained fall in the general price level (negative inflation rate). **Disinflation** is a fall in the *rate* of inflation (e.g. from 5% to 3%) — prices are still rising, just more slowly.

Two types of deflation:

- **Benign (good) deflation** — caused by improvements in technology and productivity (LRAS shifts right). Prices fall because output expands. Living standards rise. Example: falling computer prices over decades.
- **Malign (bad) deflation** — caused by falling aggregate demand. Leads to a deflationary spiral: consumers delay purchases expecting further price falls, firms cut output and jobs, incomes fall, AD falls further. Example: Japan's "lost decade" of the 1990s-2000s.

Consequences of (demand-deficient) deflation:

- Consumers defer spending, reducing AD further (deflationary spiral)
- Real value of debt increases — making it harder for borrowers to repay
- Real interest rates rise even if nominal rates are at zero (the "zero lower bound" problem)
- Firms cut wages and employment; profits fall
- Asset prices fall, reducing wealth and confidence
- Government debt burden increases in real terms

Unemployment

Unemployment occurs when people who are willing and able to work, and are actively seeking employment, cannot find a job. The **unemployment rate** = (unemployed / labour force) x 100.

Measuring Unemployment

	Claimant Count	Labour Force Survey (LFS / ILO)
Method	Counts people claiming unemployment-related benefits (e.g. JSA, Universal Credit)	Quarterly survey of ~40,000 households. Uses ILO definition: without a job, actively sought work in last 4 weeks, available to start in 2 weeks.
Strengths	Quick, cheap, up-to-date (monthly), based on actual data	Internationally comparable (ILO standard), more comprehensive, captures those not claiming benefits
Weaknesses	Excludes those not eligible/not claiming, affected by changes to benefit rules, understates true unemployment	Sample-based (subject to sampling error), time lag (published quarterly), costly

Exam Tip: Neither measure captures **underemployment** (people working fewer hours than they want), **hidden unemployment** (discouraged workers who have stopped looking), or those on zero-hours contracts who want more work. The true level of labour market slack is often greater than headline figures suggest.

Types of Unemployment

Type	Definition	Cause	Duration
Frictional	Workers between jobs, searching for a new position	Information gaps, time taken to match workers with vacancies	Usually short-term

Structural	Mismatch between skills workers have and skills employers need	Deindustrialisation, technological change, geographical immobility, occupational immobility	Long-term
Cyclical (demand-deficient)	Unemployment caused by a fall in aggregate demand during a recession	Fall in AD leads to less output and fewer jobs needed	Medium-term (linked to the cycle)
Seasonal	Unemployment due to seasonal patterns in demand for labour	Tourism, agriculture, retail (e.g. post-Christmas)	Predictable and short-term
Real wage (classical)	Unemployment caused by wages being held above the market-clearing level	Minimum wages, trade union power, efficiency wages	Persistent while wages remain above equilibrium

Causes and Costs of Unemployment

Economic costs:

- Lost output — economy operates inside PPF; actual GDP below potential
- Lost tax revenue and increased government spending on benefits (worsens fiscal position)
- Hysteresis — long-term unemployed lose skills and become less employable, reducing LRAS
- Lower consumer spending and reduced economic growth (negative multiplier effect)

Social costs:

- Increased poverty and inequality
- Mental and physical health problems
- Higher crime rates and social unrest
- Regional deprivation (unemployment often concentrated geographically)

Case Study: UK Productivity Puzzle

Since the 2008 financial crisis, UK productivity growth has been unusually weak — output per hour has grown far slower than the pre-crisis trend and slower than other G7 countries. This is the

"productivity puzzle." Possible explanations include: (1) low business investment due to uncertainty (Brexit, austerity), (2) a shift towards low-productivity service sector jobs, (3) "zombie firms" — inefficient companies kept alive by low interest rates, (4) a long tail of poorly managed firms, and (5) inadequate infrastructure and training spending. Low productivity contributes to stagnant real wages and limits potential economic growth.

Balance of Payments

The balance of payments is a record of all financial transactions between residents of a country and the rest of the world over a period of time. It must always balance overall (surpluses in one account are offset by deficits in another).

Structure of the Balance of Payments

Account	Components
Current Account	Trade in goods (visible trade: exports - imports of physical goods) Trade in services (invisible trade: financial services, tourism, transport) Primary income (investment income: dividends, interest, wages from abroad) Secondary income (transfers: foreign aid, remittances, payments to international organisations)
Capital Account	Small account: debt forgiveness, migrants' transfers, sale/purchase of non-produced assets (e.g. patents, land)
Financial Account	FDI (foreign direct investment), portfolio investment (shares, bonds), reserve assets, other investment (bank lending)

$$\text{Current Account} + \text{Capital Account} + \text{Financial Account} + \text{Net Errors and Omissions} = 0$$

Current Account Deficit — Causes

- **Overvalued exchange rate** — makes exports expensive and imports cheap
- **High relative inflation** — UK goods less competitive than foreign goods

- **Strong consumer demand** — high income growth sucks in imports (high marginal propensity to import)
- **Low productivity / non-price competitiveness** — UK goods are less attractive in quality, design, or after-sales service
- **Deindustrialisation** — decline in manufacturing reduces goods exports
- **Structural factors** — UK's comparative advantage has shifted towards services, but it still imports many manufactured goods

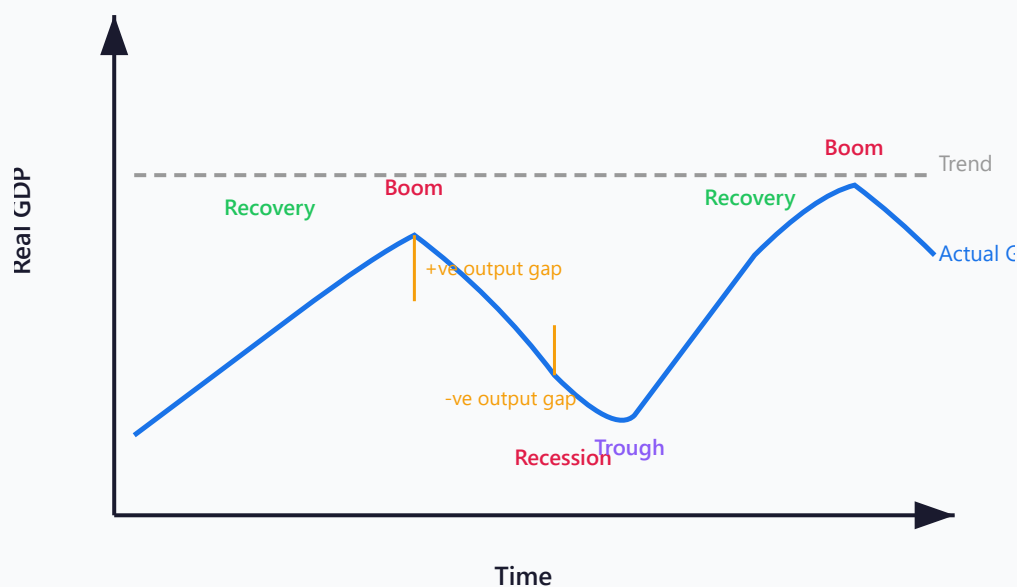
Current Account Surplus — Causes

- Weak domestic demand (reduces imports)
- Competitive exchange rate (undervalued currency)
- Strong export industries (e.g. Germany's manufacturing, China's goods exports)
- High savings rates reducing consumption of imports

Evaluation: A current account deficit is not always a problem. If financed by FDI (e.g. foreign firms investing in the UK), it may reflect a strong, attractive economy. However, if financed by borrowing, it may become unsustainable. The UK has run a persistent current account deficit (typically around 2–5% of GDP) partly because it attracts large financial inflows. Whether a deficit is a concern depends on its size, duration, cause, and how it is financed.

The Economic (Business) Cycle

The economic cycle refers to the fluctuations in real GDP growth around the long-term trend rate of growth. The economy moves through four phases: boom, slowdown/recession, trough/slump, and recovery/expansion.



The economic cycle: actual GDP fluctuates around the trend rate of growth. A positive output gap occurs when actual GDP exceeds potential; a negative output gap when it falls below.

Phases of the Cycle

Phase	GDP growth	Characteristics
Boom	Above trend	High consumer/business confidence, low unemployment, rising wages, demand-pull inflation, positive output gap. May see current account deficit as imports rise.
Slowdown / Recession	Falling (technical recession = 2 consecutive quarters of negative GDP growth)	Falling confidence, rising unemployment, falling inflation (or even deflation), negative output gap. Firms cut investment and output.
Trough / Slump	At its lowest	Highest unemployment, lowest confidence, spare capacity, potential deflation. Policy intervention often occurs here.
Recovery / Expansion	Rising	Confidence returning, unemployment falling, increasing AD, spare capacity being used up. Inflation

may begin to rise.

The Output Gap

Output gap = Actual GDP - Potential GDP (trend output).

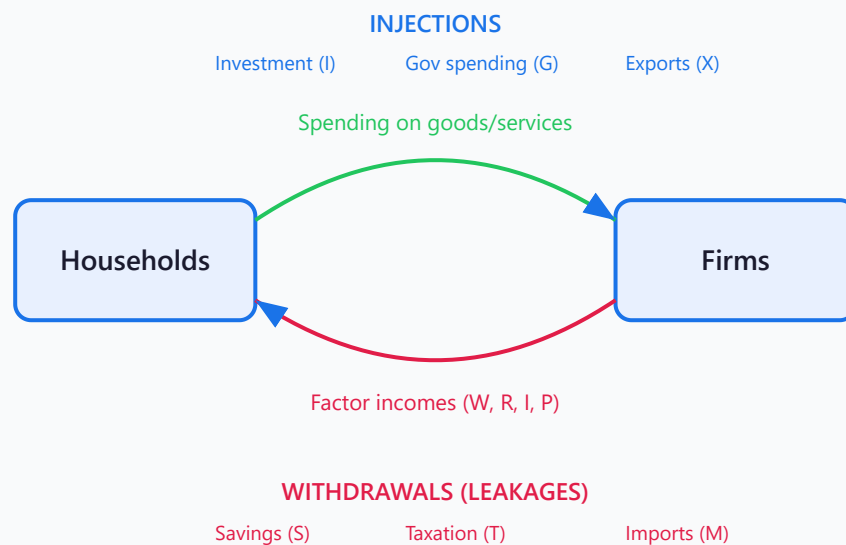
- **Positive output gap:** Actual GDP > potential GDP. The economy is overheating — inflationary pressure, low unemployment, unsustainable pace.
- **Negative output gap:** Actual GDP < potential GDP. Spare capacity exists — demand-deficient unemployment, low inflation, scope for growth without inflation.

Case Study: COVID Recession 2020

The UK economy contracted by around 10% in 2020 — the largest annual fall in over 300 years. This was driven by government-imposed lockdowns that shut down large parts of the service sector (hospitality, retail, travel). GDP fell by around 20% in Q2 2020 alone. The government responded with unprecedented fiscal support: the furlough scheme (CJRS) at a cost of £70bn, business grants, VAT cuts for hospitality, and government-guaranteed business loans (e.g. Bounce Back Loans). The Bank of England cut the base rate to 0.1% and expanded QE by £450bn. The economy recovered strongly in 2021 (growth of over 8% on current ONS estimates), but this was partly a base effect and full recovery took until late 2021. The pandemic exposed structural weaknesses: reliance on the service sector, regional inequality, and fragile supply chains.

The Circular Flow of Income

The circular flow model shows how income flows between households and firms in the economy. In the simple model, households provide factors of production to firms and receive factor incomes in return. Firms produce goods and services, which households purchase.



The circular flow: injections ($I + G + X$) add to the flow of income; withdrawals ($S + T + M$) remove from it. When injections = withdrawals, the economy is in equilibrium.

Key relationships:

- If **injections** > **withdrawals** ($I + G + X > S + T + M$), national income rises (economy expands)
- If **withdrawals** > **injections**, national income falls (economy contracts)
- At **equilibrium**: $I + G + X = S + T + M$ (national income is stable, though not necessarily at full employment)

Aggregate Demand (AD)

Aggregate demand is the total planned expenditure on goods and services in an economy at a given price level over a period of time.

$$AD = C + I + G + (X - M)$$

Where: C = consumption, I = investment, G = government spending, X = exports, M = imports.

Why the AD Curve Slopes Downward

The AD curve shows a negative relationship between the price level and real output demanded. Three reasons:

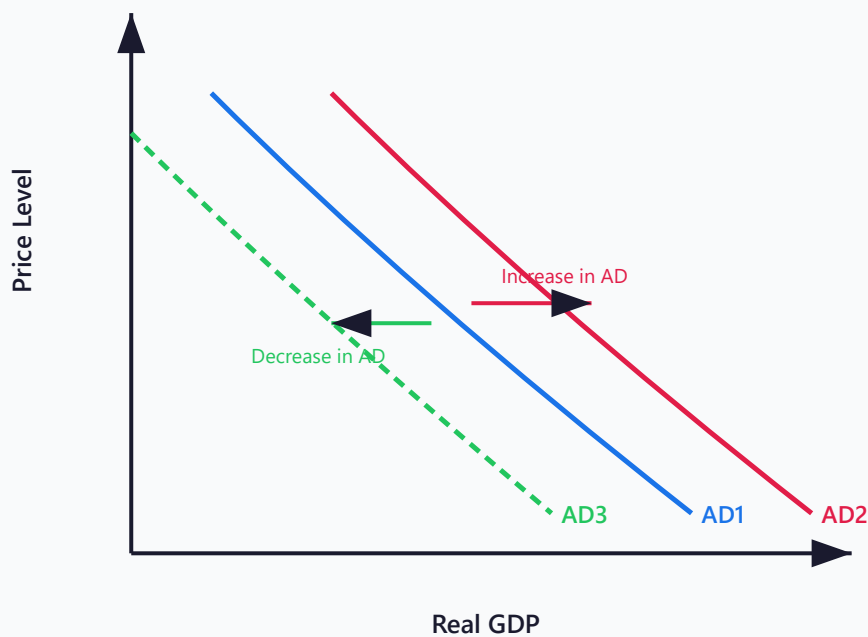
1. **The wealth effect (Pigou effect)** — a rise in the price level reduces the real value of wealth (savings, assets). Consumers feel poorer and spend less, reducing the quantity of output demanded.
2. **The interest rate effect** — a higher price level increases demand for money. With a fixed money supply, this pushes up interest rates, which discourages borrowing for consumption and investment.
3. **The trade effect (international competitiveness)** — a higher domestic price level makes exports more expensive and imports relatively cheaper, reducing net exports (X-M) and thus AD.

Exam Tip: A movement **along** the AD curve is caused by a change in the price level. A **shift** of the AD curve is caused by a change in any of C, I, G, or (X-M) at every price level. The examiner specifically wants you to distinguish between movements along and shifts of the curve.

Shifts of the AD Curve

AD shifts right (increases) if any component increases at every price level, and shifts left (decreases) if any component falls:

Component	Factors causing an increase in AD (rightward shift)
Consumption (C)	Lower interest rates, rising consumer confidence, rising asset prices (wealth effect), credit availability, tax cuts, falling saving ratio
Investment (I)	Lower interest rates, rising business confidence, technological advance, corporation tax cuts, increased capacity utilisation, accelerator effect
Government spending (G)	Expansionary fiscal policy — increased spending on infrastructure, health, education, defence
Net exports (X-M)	Depreciation of the exchange rate, stronger growth in trading partners, improved competitiveness



Shifts of the AD curve. AD shifts right (AD1 to AD2) when any component increases. AD shifts left (AD1 to AD3) when any component decreases.

The Consumption Function, MPC, and MPS

Consumption (C) is total spending by households on goods and services. It is the largest component of AD in the UK (around 60-65% of GDP).

The Consumption Function

$$C = a + bY$$

Where:

- **a** = autonomous consumption (the level of spending that occurs regardless of income — e.g. essentials like food, shelter. Funded by savings or borrowing when income is zero)
- **b** = marginal propensity to consume (MPC)
- **Y** = national income (disposable income)

MPC and MPS

Marginal Propensity to Consume (MPC) = the proportion of each additional pound of income that is spent on consumption. $MPC = \Delta C / \Delta Y$.

Marginal Propensity to Save (MPS) = the proportion of each additional pound of income that is saved. $MPS = \Delta S / \Delta Y$.

$$MPC + MPS = 1 \quad (\text{in a simple two-sector model})$$

$$\text{In an open economy with government: } MPC + MPS + MPT + MPM = 1$$

Where MPT = marginal propensity to tax, MPM = marginal propensity to import.

Key points:

- MPC is between 0 and 1. Low-income households tend to have a higher MPC (they spend a larger proportion of extra income on necessities).
- A higher MPC means a larger multiplier effect (covered in 2.2)
- The UK's MPC has been relatively high historically, contributing to strong consumption-driven growth

Factors Affecting Consumption (C)

Factor	Effect on C	Explanation
Interest rates	Inverse	Higher rates increase the cost of borrowing and the return on saving, reducing C. Also increases mortgage payments, reducing disposable income.
Consumer confidence	Direct	If consumers expect future income to rise or the economy to grow, they spend more now. Measured by GfK consumer confidence index.
Wealth	Direct	Rising house prices and share prices make consumers feel wealthier, encouraging spending (wealth effect).

Income and employment	Direct	Higher real disposable income and lower unemployment increase C.
Credit availability	Direct	Easier access to credit (credit cards, loans) enables more spending. Post-2008 credit rationing reduced C.
Distribution of income	Direct (if more equal)	Redistribution to lower-income groups raises total C because they have a higher MPC.
Taxation	Inverse	Lower income tax increases disposable income and thus C.

Factors Affecting Investment (I)

Investment is spending by firms on capital goods (machinery, equipment, buildings, technology) that are used to produce other goods and services. It adds to the capital stock and productive capacity.

Factor	Effect on I	Explanation
Interest rates	Inverse	Higher rates increase the cost of borrowing for investment and the opportunity cost of using retained profits.
Business confidence / expectations	Direct	Keynes called this "animal spirits." If firms expect strong future demand, they invest. Uncertainty (e.g. Brexit) deters investment.
Corporation tax	Inverse	Lower corporation tax increases post-tax profits, making investment more attractive.
Technological change	Direct	New technology creates opportunities for profitable investment.
Access to credit	Direct	Firms need access to finance. Credit rationing (post-2008) reduces I.
Spare capacity	Inverse (when high)	Firms with lots of unused capacity have less incentive to invest. High capacity utilisation encourages I (accelerator)

		effect).
Government policy	Variable	Tax allowances, subsidies, and deregulation can encourage I. Regulation and uncertainty deter it.

Factors Affecting Savings

Factor	Effect on S	Explanation
Interest rates	Direct	Higher rates increase the return on saving. However, the income effect can work in the opposite direction (those saving for a target need to save less).
Consumer confidence	Inverse	Greater uncertainty increases precautionary saving (paradox of thrift).
Income levels	Direct	Higher-income households save a larger proportion of income (lower MPC, higher MPS).
Availability of credit	Inverse	Easy credit reduces the need to save before purchasing.
Cultural factors	Variable	Some societies have higher savings norms (e.g. East Asian economies tend to save more).

Evaluation — The Paradox of Thrift (Keynes): If all individuals increase saving simultaneously (e.g. during a recession due to fear), aggregate demand falls, causing output and income to decline. This can lead to lower total saving in the economy. What is rational for an individual may be harmful for the economy as a whole — a **fallacy of composition**. This is a key Keynesian argument for government intervention to maintain AD during downturns.

Case Study: COVID and Savings

During the 2020 lockdowns, UK households accumulated over £200bn in "excess savings" because they were unable to spend on services (restaurants, travel, entertainment) while incomes were supported by furlough. The household savings ratio spiked from around 6% to over 25% in Q2

2020. As restrictions eased in 2021, some of these savings were spent, boosting consumption and contributing to the post-pandemic recovery — but also adding to inflationary pressure. However, savings were unevenly distributed: higher-income households saved most, while lower-income households often depleted savings or took on debt.

Final Exam Tip — Linking Topics: The themes in this section are all interconnected. A fall in AD causes lower growth, higher unemployment, and lower inflation (demand-deficient). An increase in oil prices causes cost-push inflation, lower growth, and potentially higher unemployment. Always link macroeconomic indicators together in essays and show the chain of reasoning using AD/AS analysis.